

Vishal Chawla v. Consumer Grievance Redressal Forum, Purvanchal Vidyut Vitran Nigam Ltd. & Another

Allahabad High Court · Division Bench · 4 December 2023 · 2023:AHC:229254-DB · Writ - C No. 22278 of 2023 · **Writ dismissed as withdrawn to avail a one-time settlement scheme; compounding, Clause 8.2(vii) and Sections 126 and 135 were not decided**

HEADNOTE

Vishal Chawla sought a mandamus to permanently disconnect his electricity connection from 1 December 2020 because, he said, he had deposited compounding under Section 152 of the Electricity Act, 2003. The licensee objected that the writ was not maintainable, relying on Division Bench orders, including Bhupendra Singh, that a compounding fee for theft is distinct from liability for unauthorised use under an assessment. The petitioner relied on Executive Engineer v. M/s Sri Seetaram Ricemill (paragraphs 15, 16, 17 and 22) for a distinction between Sections 126 and 135, and on Clause 8.2(vii) of the U.P. Electricity Supply Code, 2005, submitting that acceptance of compounding charges limits further assessment to one time the existing tariff, about Rs. 6.5 lakh, which he was ready to deposit. On 27 October 2023 the Court held only that the matter required consideration, called for a response, and restrained coercive action until the next date if Rs. 6.5 lakh was deposited within a week, subject to the writ. On 4 December 2023 the petition was dismissed as withdrawn, counsel stating that the petitioner wished to avail a departmental one-time scheme for settlement of dues. Maintainability, permanent disconnection, Clause 8.2(vii), and the Sections 126 and 135 point were not decided.

FACTUAL SUMMARY

Vishal Chawla filed Writ-C No. 22278 of 2023 against the Consumer Grievance Redressal Forum of Purvanchal Vidyut Vitran Nigam Ltd. and another, seeking a mandamus to permanently disconnect his electricity connection from 1 December 2020 because, he said, compounding under Section 152 of the Electricity Act, 2003 had already been deposited. On 10 October 2023 the compounding order was not on record, and the licensee's counsel was asked to file it.

On 27 October 2023 the licensee objected that a compounding fee for theft is distinct from the assessment for unauthorised use. The petitioner called it a theft case, cited Executive Engineer v. M/s Sri Seetaram Ricemill on Sections 126 and 135, and offered about Rs. 6.5 lakh under Clause 8.2(vii) of the U.P. Electricity Supply Code, 2005 as one time the tariff. The Court called for a reply and, until the next date, restrained coercive steps if that sum was deposited within a week. On 4 December 2023 the writ was dismissed as withdrawn so that he could avail a one-time scheme for settlement of dues.

HOLDING-UNITS

HOLDING-UNIT · EA2003::152

A mandamus for permanent disconnection said to follow deposit of compounding under Section 152 was not decided; the writ was withdrawn

QUESTION

Does deposit of compounding under Section 152 entitle the consumer to a mandamus for permanent disconnection, and does that deposit end liability for a further assessment?

HOLDING

Not decided. The writ sought a mandamus commanding the second respondent to permanently disconnect the petitioner's electricity connection since 1 December 2020 on the ground that compounding contemplated in Section 152 had already been deposited. On 10 October 2023 the Court recorded that the parties had not brought the compounding order on record and directed the licensee's counsel to place it before the next date. On 27 October 2023 the licensee objected to maintainability and relied on Bhupendra Singh, where a Division Bench held that payment of a compounding fee for the offence of theft is altogether distinct from unauthorised use for which the consumer is liable as per assessment, with Sharvan Kumar Jain said to take a

similar view and Sandeep Kesarwani also relied on. The Court did not accept or reject that objection. It said the matter required consideration and called for a response. On 4 December 2023 the petition was dismissed as withdrawn so the petitioner could avail a one-time scheme for settlement of dues. Permanent disconnection was not ordered.

¶ order of 10.10.2023, para 1; order of 27.10.2023, paras 2-3 and 5; order of 4.12.2023, paras 2-3

QUALIFIER

The Section 152 prayer and the maintainability objection are in the order of 27.10.2023 (Mahesh Chandra Tripathi and Nand Prabha Shukla, JJ.). The dismissal as withdrawn is the order of 4.12.2023 (Salil Kumar Rai and Mohd. Azhar Husain Idrisi, JJ.) and does not repeat Section 152.

FLAG Source PDF concatenates seven orders: 13.7.2023, 16.8.2023, 18.9.2023 and 6.10.2023 (affidavit time and pass-overs; Mahesh Chandra Tripathi and Prashant Kumar, JJ.); 10.10.2023 (compounding order to be placed on record; same bench); 27.10.2023 (numbered paras 1-8; Tripathi and Nand Prabha Shukla, JJ.); 4.12.2023 (numbered paras 1-3; Neutral Citation No. 2023:AHC:229254-DB; Salil Kumar Rai and Mohd. Azhar Husain Idrisi, JJ.). The 18.9.2023 sheet prints the next date as '26..09.2023'. Cause title prints the licensee as 'Purvanchal Vidhut Vitrana Nigam Ltd.' The second respondent is not named. No connection number, premises or load is stated. Fingerprint has no Indian Kanoon doc-id. Catalog hits on CGRF-2007 clause 6.10, UP-2005 clauses 4.5, 6.5, 6.10 and 16.5, and EA2003::126(3) and 126(5) are false positives; the orders cite Section 152, Sections 126 and 135, and Clause 8.2(vii) only.

HOLDING-UNIT · UP-2005::8.2(vii)

The petitioner's one-time-tariff cap under Clause 8.2(vii) was not construed; interim protection was tied to his figure of about Rs. 6.5 lakh, and the writ was then withdrawn

QUESTION

Where compounding charges are said to have been accepted, does Clause 8.2(vii) limit any further assessment of units to one time the existing tariff?

HOLDING

Not decided. The petitioner relied on Clause 8.2(vii): if compounding charges are accepted from the consumer as per the sum prescribed in the Act, any further charges for assessment of units by the licensee shall be at 1.0 times the existing tariff only. He submitted that the amount so computed came to about Rs. 6.5 lakh and that he was ready to deposit it. The Court did not construe Clause 8.2(vii) or find that sum. On 27 October 2023 it said the matter required consideration and, until the next date of listing, directed that no coercive action be taken if the petitioner deposited Rs. 6.5 lakh within a week, subject to the outcome of the writ. The petition was dismissed as withdrawn on 4 December 2023 before any decision on the clause.

¶ order of 27.10.2023, paras 4-5 and 8; order of 4.12.2023, paras 2-3

QUALIFIER

The Clause 8.2(vii) submission and the conditional interim direction are the order of 27.10.2023. The 4.12.2023 withdrawal does not mention the clause or the deposit.

FLAG Clause 8.2(vii) is the petitioner's submission, not a construction adopted by the Court. The Rs. 6.5 lakh figure is his computation, which the interim order used as the condition of protection. Whether the deposit was made is not recorded.

INTERPLAY · EA2003::126

The petitioner's submission that Sections 126 and 135 are distinct, so that the licensee's authorities did not apply to a theft case, was not decided

QUESTION

Do Sections 126 and 135 occupy distinct fields, so that authorities treating a compounding fee as distinct from an assessment for unauthorised use do not apply where the consumer's case is one of theft?

HOLDING

Not decided. The petitioner relied on paragraphs 15, 16, 17 and 22 of Executive Engineer v. M/s Sri Seetaram Ricemill for a distinction between Sections 126 and 135, and submitted that his case was one of theft, so the judgments cited by the licensee were not attracted. Those paragraphs are not quoted, and the Court did not decide the relationship between the two sections. It said only that the matter required consideration. The writ was later dismissed as withdrawn. ¶ order of 27.10.2023, paras 4-5

QUALIFIER

The submission is paragraph 4 of the order of 27.10.2023. No decision on Sections 126 and 135 appears in the order of 4.12.2023.

FLAG The judgment names the Supreme Court decision only as 'The Executive Engineer vs. M/s Sri Seetaram Ricemill' and specifies paragraphs 15, 16, 17 and 22. It does not quote them. Sections 126(3) and 126(5) are not cited.

PRINCIPLE TAGS

compounding-fee-does-not-extinguish-civil-consumption-dues The licensee pressed this point for maintainability, through the observation in Bhupendra Singh that a compounding fee for theft is altogether distinct from unauthorised use for which the consumer remains liable as per assessment, with Sharvan Kumar Jain said to be to the same effect. The Court did not adopt the observation. It called for a response, and the writ was dismissed as withdrawn. Lead authorities: *Bhupendra Singh @ Bhupendra Singh Chauhan v. State of U.P. and 2 Others*, *Sharvan Kumar Jain v. State of U.P. & 2 Others*. ¶ order of 27.10.2023, para 3

126-vs-135-distinct-fields The petitioner relied on paragraphs 15, 16, 17 and 22 of Executive Engineer v. M/s Sri Seetaram Ricemill for a distinction between Sections 126 and 135, and said the licensee's authorities were not attracted because the case was one of theft. The Court did not decide that distinction. The writ was dismissed as withdrawn. Lead authorities: *The Executive Engineer v. M/s Sri Seetaram Ricemill*. ¶ order of 27.10.2023, para 4

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER DEPOSIT OF COMPOUNDING UNDER SECTION 152 ENTITLED THE PETITIONER TO PERMANENT DISCONNECTION FROM 1 DECEMBER 2020, AND WHETHER THAT DEPOSIT ENDED FURTHER ASSESSMENT LIABILITY

The compounding order was not on record on 10 October 2023. The licensee's maintainability objection, founded on Bhupendra Singh, Sharvan Kumar Jain and Sandeep Kesarwani, was not accepted or rejected. The writ was dismissed as withdrawn. ¶ order of 10.10.2023, para 1; order of 27.10.2023, paras 2-3 and 5; order of 4.12.2023, paras 2-3

NOT DECIDED — WHETHER CLAUSE 8.2(VII) LIMITED FURTHER ASSESSMENT TO ONE TIME THE EXISTING TARIFF, AND WHETHER THAT SUM WAS ABOUT RS. 6.5 LAKH

The clause and the figure were the petitioner's submission. The interim order made them the condition of protection until the next date, subject to the writ, without construing the clause. Whether the deposit was made is not recorded. ¶ order of 27.10.2023, paras 4 and 8

NOT DECIDED — WHETHER SECTIONS 126 AND 135 OCCUPY DISTINCT FIELDS SO THAT THE LICENSEE'S AUTHORITIES DID NOT APPLY

Raised on paragraphs 15, 16, 17 and 22 of Seetaram Ricemill, which are not quoted. Left open when the Court said the matter required consideration. ¶ order of 27.10.2023, paras 4-5

NOT DECIDED — THE TERMS OF THE DEPARTMENTAL ONE-TIME SCHEME FOR SETTLEMENT OF CONSUMER DUES, AND WHETHER THE PETITIONER WAS ELIGIBLE

Withdrawal rested on counsel's statement that the department had introduced such a scheme and that the petitioner wished to avail it. No scheme, amount or eligibility is recorded, and no liberty to file afresh was reserved. ¶ order of 4.12.2023, paras 2-3

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Bhupendra Singh @ Bhupendra Singh Chauhan v. State of U.P. and 2 Others</i> order dated 22.8.2019 (Division Bench) Allahabad High Court	Relied on by the licensee for maintainability. As recited, the consumer was found using electricity unauthorisedly, agreed to a compounding fee of Rs. 20,000 to avoid prosecution under Section 135, was provisionally assessed at Rs. 1,27,295, and challenged a demand notice dated 23.05.2019 for both sums on the plea that compounding ended further liability. The Bench observed: "The argument is		Respondent	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	completely misconceived inasmuch as payment of compounding fee is in respect of offence of theft is altogether distinct from unauthorized use of electricity for which the petitioner is liable to pay as per assessment.' This Court did not apply that observation.			
<i>Sharvan Kumar Jain v. State of U.P. & 2 Others</i> Writ-C No. 25372 of 2015, decided on 4.5.2015 Allahabad High Court	Cited by the licensee as another Division Bench order taking a view similar to Bhupendra Singh. No separate holding is stated, and this Court did not apply it.		Respondent	Referred
<i>Sandeep Kesarwani v. State of U.P. & 3 Others</i> Writ-C No. 69101 of 2013, order dated 11.2.2014 Allahabad High Court	Cited by the licensee. The order sets out no holding from that decision, and this Court did not apply it.		Respondent	Referred
<i>The Executive Engineer v. M/s Sri Seetaram Ricemill</i> paragraphs 15, 16, 17 and 22 Supreme Court of India	Cited by the petitioner as a judgment of the Supreme Court. Reliance was placed on paragraphs 15, 16, 17 and 22 for a distinction between Sections 126 and 135, and for the submission that the licensee's authorities were not attracted because the case was one of theft. Those paragraphs are not quoted, and this Court did not apply them.		Petitioner	Referred

SCJ-3293 · Vishal Chawla v. Consumer Grievance Redressal Forum, Purvanchal Vidyut Vitran Nigam Ltd. & Another · 2023:AHC:229254-DB · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.